MODEL QUESTIONS

Part-A Multiple Choice Questions

1. The primary factors of production are:
   - **a.** Labour and Organisation
   - **b.** Labour and Capital
   - **c.** Land and Capital
   - **d.** Land and Labour.

2. The man-made physical goods used to produce other goods and services are referred to as.
   - **a.** Land **b.** Labour
   - **c.** Capital **d.** Organization.

3. Formula for calculating AP is
   - **a.** $\Delta TP/N$
   - **b.** $\Delta TP/\Delta N$
   - **c.** TP/MP
   - **d.** TP/N

4. Which factor is called the changing agent of the Society
   - **a.** Labourer
   - **b.** Land
   - **c.** Organizer
   - **d.** Capital

5. Who said, that one of the key of an entrepreneur is "uncertainty-bearing".
   - **a.** J.B.Clark
   - **b.** Schumpeter
   - **c.** Knight
   - **d.** Adam Smith

6. The functional relationship between "inputs" and "outputs" is called as
   - **a.** Consumption Function
   - **b.** Production Function
   - **c.** Savings Function
   - **d.** Investment Function

7. In a firm 5 units of factors produce 24units of the product. When the number of factor increases by one, the production increases to 30 units. Calculate the Avarage Product.
   - **a.** 30
   - **b.** 6
   - **c.** 5
   - **d.** 24

8. The short-run production is studied through
   - **a.** The Laws of Returns to Scale
   - **b.** The Law of Variable Proportions
   - **c.** Iso-quants
   - **d.** Law of Demand

9. The long-run production function is explained by
   - **a.** Law of Demand
   - **b.** Law of Supply
   - **c.** Returns to Scale
   - **d.** Law of Variable Proportions

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